

Does a Stock Market Slump Mean a Business Slide-Off?

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While the stock market remains a reflection of the concentrated, critical judgment of the men who do things, since the war it has lost much significance as a barometer of business.

The stock market is none the less a barometer of business, but it must be read in causes rather than effects.

Naturally the average manufacturer, far removed geographically or mentally from all but the printed record of the market's fluctuations, is still apprehensive over a sudden break or encouraged by a determined rise. But in either case, to be correct in his judgment, he must be able to look beneath the cold figures of rise or fall in stocks to the underlying reason. Take, for instance, the market we have just been through. Its rise dates back to the election of Calvin Coolidge and the hopes men had of what the Coolidge administration was going to do for business. Buying became rampant—not of any particular stocks, but of all stocks.